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Illustration 1

Show necessary entries to adjust the following on 31st December, 2017.

(i) Outstanding salaries ` 1,200

(ii) Outstanding rent ` 300

(iii) Prepaid insurance premium ` 450

(iv) Interest on investments accrued ` 400

(v) Bad debts written off ` 200

Solution

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2017 Dec. 31	Salaries A/c To Outstanding salaries A/c (Salaries outstanding provided)	Dr.		1,200	 1,200
Dec. 31	Rent A/c To Outstanding rent A/c (Provided for rent outstanding)	Dr.		300	 300
Dec. 31	Prepaid insurance premium A/c To Insurance premium A/c (Insurance prepaid)	Dr.		450	 450
Dec. 31	Accrued Interest on investment A/c To Interest on investment A/c (Provided for interest accrued)	Dr.		400	 400
Dec. 31	Bad debts A/c To Sundry debtors A/c (Bad debts written off)	Dr.		200	 200

Illustration 2

Pass adjusting entries for the following on 31st March, 2018.

(i) Charge interest on drawings at ` 50

(ii) Write off bad debts by ` 500

(iii) Depreciate furniture by ` 1,000